Global Economic Prospects

WORLD BANK GROUP

HIGHLIGHTS from Chapter 3:
A Rising Challenge: Sovereign Debt Levels and Interest Rates in EMDEs

Key Points

- *Government debt in emerging market and developing economies (EMDEs) has surged from under 40 percent of GDP in 2010 to over 70 percent.*
- *Higher debt levels are associated with higher borrowing costs in a nonlinear way: the more indebted a country already is, the sharper the rise in interest rates from additional borrowing.*
- *Rising debt in advanced economies has compounded EMDE borrowing pressures by pushing up global interest rates.*
- *High debt-service burdens crowd out investment in infrastructure, health, education, and the reforms needed to raise productivity and create jobs.*
- *Strengthening fiscal positions—through domestic revenue mobilization, efficient public spending, and improved debt management—can help contain borrowing costs and restore space for growth-enhancing investment.*

Sovereign debt has risen sharply across EMDEs, pushing up the cost of borrowing. Aggregate government debt in EMDEs has increased from under 40 percent of GDP in 2010 to over 70 percent, driven by both domestic policy measures and external shocks (figure 1A). As a result, the cost of servicing government debt has risen from 6 percent of government revenues in 2010 to an estimated 10 percent in 2025—its highest level in more than two decades (Figure 1B).

The relationship between government debt and borrowing costs is nonlinear. When debt is around 45 percent of GDP, a 1 percentage point increase in the debt-to-GDP ratio is associated with an 8 basis point rise in sovereign spreads; when debt is around 80 percent of GDP, the same increase adds about 26 basis points (figure 1C). Reducing debt by 1 percentage point of GDP could lower annual interest costs by as much as 0.3 percent of GDP, depending on the starting debt level. These dynamics imply that countries with already high debt ratios stand to gain the most—in terms of fiscal savings and restored room for investment—from bringing debt down to more manageable levels.

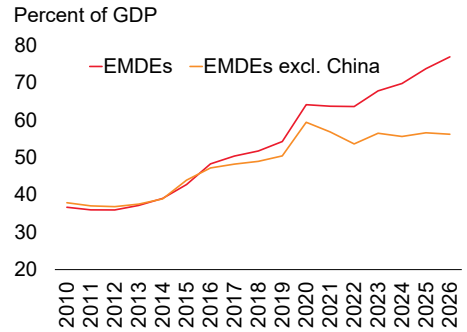
Advanced-economy debt has amplified borrowing costs in EMDEs. Rising debt in advanced economies has pushed up yields in those countries, spilling over into higher EMDE interest rates. When the increases in both domestic EMDE and AE debt between 2010 and 2024 are considered together, the estimates indicate a combined upward pressure on dollar-denominated sovereign yields of approximately 150 basis points and on domestic currency yields of around 40 basis points (figure 1D).

High debt-service burdens crowd out investment on key drivers of long-term development and job creation. Mounting debt-service payments divert government resources away from investment in infrastructure, health, education, and social safety nets—all of which are essential for raising productivity, supporting private investment, and creating jobs.

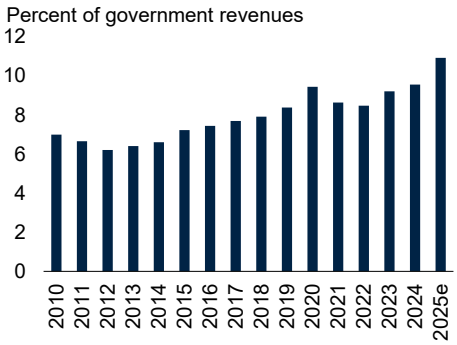
Strengthening fiscal positions is essential to break the debt-interest rate spiral and restore space for development. This can be achieved through stronger domestic revenue mobilization, more efficient public spending, and improved debt management frameworks. Support for domestic debt market development can broaden the investor base and reduce reliance on external financing. Debt-for-development swaps offer an additional avenue to reduce debt burdens while channeling resources toward productive investment.

Figure 1. Implications of rising government debt in EMDEs

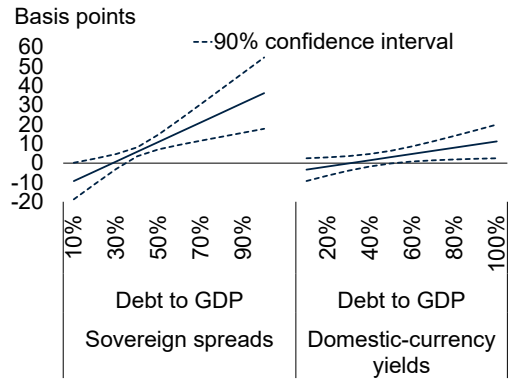
A. Government debt



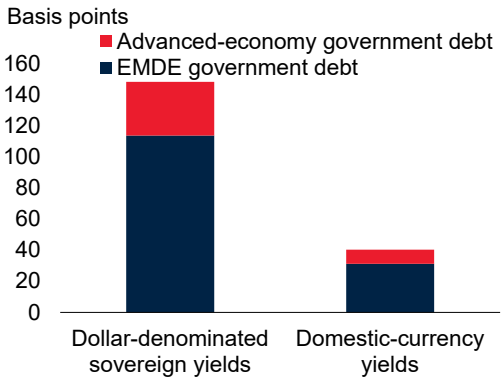
B. Debt service costs



C. Marginal impact of additional debt on interest rates based on non-linear models



D. Cumulative impact of EMDE and advanced economy debt on EMDE bond yield since 2010



Sources: International Monetary Fund; World Bank
Note: e = estimate; EMDE = emerging market and developing economies.
A. Weighted average of government debt as share of GDP using GDP weights at average 2010–19 prices and market exchange rates since 2010. Sample includes 139 EMDEs.
B. Aggregates are computed as weighted averages, using government revenues in U.S. dollars as weights. Net interest payments are computed as differences between primary balances and overall fiscal balances. Data for 2025 are estimates. Sample includes up to 148 EMDEs.
C. Based on quadratic regressions of debt on interest rates in EMDEs. Shows effect on interest rates of a one percentage point rise in the ratio of debt to GDP at different initial levels of the debt ratio.
D. Figure shows the cumulative impact of rising debt in EMDEs and advanced economies on EMDE interest rates.